DEBT & EQUITY

Madison Realty's $211M Asbury Park Loan Tests Condo Construction Debt's Return

The largest construction loan ever in Asbury Park signals private credit's appetite for high-end for-sale product.

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A source-grounded Light Tower Insight. The complete note follows.

The site is 1201 Ocean Avenue in Asbury Park, New Jersey. The building will rise eight stories and contain 112 luxury condominiums. The construction loan is $211 million. That number is not just large. It is the largest construction loan ever secured for a real estate project in Asbury Park, according to the release. That fact alone tells you something about the market: private credit is willing to write big checks for for-sale residential development again, but only at the right basis, with the right sponsor, and in a location where demand is visible enough to underwrite.

Madison Realty Capital provided $186 million of the debt. Cottonwood Group supplied the remaining $25 million. The combined capital stack is a bet that wealthy buyers will pay a premium for oceanfront condominiums in a Jersey Shore town that has transformed over the past decade from a faded boardwalk into a cultural and residential destination. The developer, Inspired by Somerset Development, began launching sales in July 2025. Construction is expected to finish in 2028. That timeline means the lender is underwriting a delivery date more than two years from now, in a rate environment that remains uncertain and a for-sale market that has not yet proven it can absorb luxury product at this scale in this submarket.

The deal matters because construction financing for condominiums has been one of the hardest capital sources to secure since the regional bank crisis of 2023. Banks pulled back. Balance-sheet lenders became more selective. The projects that got financed were typically rental, not for-sale. A for-sale condo project carries different risk: it depends on individual buyer commitments, not a single institutional lease. The absorption timeline is less predictable. The exit is not a stabilized NOI but a series of closings. Lenders who finance condos are underwriting buyer demand, not just tenant demand. That is a different underwriting discipline, and it requires conviction that the product will trade at the prices assumed in the pro forma.

Madison Realty Capital is a private credit lender that has built a reputation for financing complex transitional assets. It is not a regional bank constrained by deposit costs or regulatory scrutiny. It can price for risk. The $186 million check suggests the lender sees a margin wide enough to compensate for the construction timeline, the for-sale execution risk, and the possibility that rates stay higher for longer. Cottonwood Group, a real estate investment firm, added $25 million, likely in a subordinate or mezzanine position. The structure gives the senior lender a cushion and gives the mezzanine lender a higher return for taking a more exposed position in the capital stack.

The location is the key underwriting variable. Asbury Park has undergone a well-documented revival driven by live music, restaurants, and a growing year-round population. The oceanfront site at 1201 Ocean Avenue is irreplaceable. The project includes 50,000 square feet of amenities: a thermal spa, an oceanfront fitness center, an infinity pool with private cabanas, and a 27,000-square-foot landscaped sculpture park. Those amenities are not just features. They are the underwriting thesis. The developer is not selling a condominium. It is selling a lifestyle product to a buyer who can afford to pay a premium for location and experience. The lender is betting that buyer exists in sufficient numbers and at sufficient price points to absorb 112 units over a multi-year sellout.

The sales launch in July 2025, a year before the loan was announced, is a revealing detail. It means the developer had enough pre-sales or buyer interest to give the lender confidence before the construction financing closed. Lenders rarely commit $211 million to a condo project without evidence that the market will accept the pricing. The pre-sales, if they were material, would have de-risked the construction loan by demonstrating demand and by providing a pool of deposits that reduce the lender's exposure to a failed sellout. The release does not disclose the pre-sales number, but the timing suggests they were sufficient to get the deal done.

The cast of parties reveals the capital structure. Madison Realty Capital is the senior lender, providing 88 percent of the debt. Cottonwood Group is the subordinate capital, providing 12 percent. Meridian Capital Group arranged the Madison debt. CBRE arranged the Cottonwood piece. The presence of two separate arrangers suggests a bifurcated capital stack where the senior and subordinate tranches were sourced from different capital pools with different return requirements. The senior lender gets a lower yield but priority in repayment. The subordinate lender gets a higher yield but accepts the risk of being behind the senior in a default scenario. That structure is common in construction financing, but the size and the for-sale nature of the project make the risk allocation worth watching.

The market signal is not that construction lending is back broadly. It is that construction lending is back for the right projects: irreplaceable locations, credible sponsors, luxury product, and pre-sales evidence. Lenders are not writing blank checks for speculative development. They are writing specific checks for specific assets where the downside can be modeled and the upside is visible. The projects that get financed will be the ones where the basis is defensible, the sponsor has a track record, and the demand story is grounded in observable buyer behavior, not just demographic projections.

For owners and developers watching this deal, the question is not whether Madison Realty Capital will get repaid. The question is whether this loan becomes a template for other condo projects in secondary coastal markets. If LIDO Asbury Park sells out at the projected prices, it will open the door for more construction financing in similar locations. If it struggles, lenders will tighten their underwriting on for-sale product even further. The next test is the absorption data from the sales launch. That data will tell the market whether the thesis holds.

SOURCES

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